can be seen as a balancing effort, although India's budget allocations do not in any way match those of China. India is also developing new naval partnerships with the United States, Japan, Australia, and France, but these currently involve joint exercises and operability and do not resemble alliances. Thus, India's naval build-up may not bear the hallmarks of hard balancing, but it falls on the conflictive side of a hedging strategy.

India is also stepping up its effort to improve its relations with countries in South Asia to prevent them from drifting into a closer relationship with China. India is not trying to develop an alliance system in its region but is rather seeking to ensure that it offers a serious alternative to China. On the border issue, Modi's government took a clear stand during the Doklam incident and showed it was not willing to accommodate Beijing. The government has also begun upgrading infrastructure in the border areas and moving top-end weapons platforms towards the border.

With respect to India's growing economic ties with China, the Modi government is sending a clear signal to China – through policy initiatives and high-level economic dialogue meetings – that Chinese investments in India are welcome. This could thus be seen as India signalling an intent of closer co-operation. Nevertheless, according to Lim and Cooper, as a signal of alignment, economic co-operation has limitations due to the growing interdependence of contemporary world economy.[117] In other words, India's economic ties with China are a normal feature of a global economy and should thus not necessarily be interpreted to mean that Modi is signalling any unusual interest in cooperation. Yet a high degree of economic dependence on another state could become a constraint on military balancing towards this state;[118] thus, economic dependence could constrain any efforts India may wish to make toward military balancing vis-àvis China. Although Chinese venture